

Financial Controls & Close Policy

Policy ID: FIN-CTRL-001 **Version:** 1.0 **Effective:** 27 Sep 2026

Owner: Financial Controller

Status: Internal / fictional policy for the FINOP demonstration environment

Purpose

Establish a practical control framework for transaction integrity, reconciliations, approvals, close procedures, access, evidence, and management review.

Standards alignment note

Original policy language designed for the FINOP demo. The control structure is informed by widely used principles for internal control, risk management, financial reporting, and revenue recognition, including COSO-style control concepts and IFRS-style revenue principles; it is not a reproduction of any proprietary standard and does not claim regulatory compliance.

1. Control framework

- Controls are designed across control environment, risk assessment, control activities, information/communication, and monitoring concepts consistent with widely used internal-control practice.
- Controls may be preventive, detective, or corrective.

2. Key financial controls

- Segregation of duties for initiation, approval, recording, and reconciliation.
- System access based on role and least privilege.
- Documented approval thresholds.
- Independent review of material journal entries and adjustments.
- Periodic reconciliations of subledgers, transaction systems, and bank/payment records.

3. Month-end close

- Freeze or control late-period changes according to the close calendar.
- Review revenue cut-off, refunds, credits, accruals, unusual adjustments, and material variances.
- Complete account reconciliations and document reconciling items.
- Controller signs off on material unresolved issues.

4. Journal entry controls

- Manual journal entries require preparer, reviewer, business purpose, supporting evidence, accounts affected, date, and amount.
- Post-close entries require explicit reason and approval.
- High-risk entries should receive enhanced review.

5. Reconciliation standards

- Each reconciliation should identify source balances, ledger balances, reconciling items, aging, owner, and expected resolution date.
- Old or unexplained reconciling items must be escalated.

6. Access controls

- Privileged finance access should be restricted and periodically reviewed.
- Joiner/mover/leaver processes must remove inappropriate access promptly.
- Shared accounts should be avoided unless technically necessary and monitored.

7. Management review

- Management should review material budget/actual variances, revenue movements, unusual transactions, control exceptions, and unresolved reconciliation items.
- Review evidence should show who reviewed, when, what was reviewed, and what action was taken.

8. RAG retrieval anchors

- Segregation of duties
- Month-end close
- Journal entry approval
- Reconciliation
- Access control
- Management review
- Manual adjustment

Document control: Review at least annually and whenever a material business, regulatory, accounting, technology, or risk change occurs. This document is not legal, accounting, tax, or regulatory advice.